

SUPERIOR COURT OF THE STATE OF DELAWARE
IN AND FOR NEW CASTLE COUNTY

HORIZON LOGISTICS LLC,

Plaintiff,

v. C.A. No. N24C-03-118

STERLING FREIGHT SYSTEMS INC.,

Defendant.

CASE COVER SHEET

Filed: 14 March 2026 Trial date: 9 November 2026

Presiding judge: Hon. Marisol Vega-Katz

Case type: breach of contract; unjust enrichment

Plaintiff: Horizon Logistics LLC (Delaware LLC, Wilmington)

Defendant: Sterling Freight Systems Inc. (Dover, Delaware)

Trial preference: bench trial (no jury demand filed)

ENGAGEMENT LETTER - RIVERDALE & CHO LLP (EXTRACT 1/2)

Client: Horizon Logistics LLC Effective: 5 January 2026

Matter: Horizon Logistics LLC v. Sterling Freight Systems Inc.

Lead counsel: Dana Riverdale (admitted Delaware, 2009) - \$650/hr

Associate: Priya Cho - \$425/hr

Paralegal support: \$175/hr

A retainer of \$75,000 is held in the client trust account and reconciled against monthly invoices. Invoices are issued monthly, net-30. Conflict check against Sterling Freight Systems cleared 2 January 2026 with no conflicts identified.

ENGAGEMENT LETTER - RIVERDALE & CHO LLP (EXTRACT 2/2)

Pre-trial phase fee cap: \$250,000 (excludes e-discovery and expert fees).

E-discovery vendor: LexFetch Solutions - estimated \$18,000.

Deposition budget: \$32,000 covering up to nine (9) depositions.

Mediation is scheduled for 12 June 2026 in Wilmington with retired judge Alan Pettaway. If mediation fails, the parties will proceed to non-binding arbitration administered by JAMS with a single arbitrator; arbitration fees are split 50/50.

STATEMENT OF FACTS (EXTRACT 1/3) - BACKGROUND

On 12 January 2024 the parties executed a Master Freight Services Agreement (the MSA) for a thirty-six (36) month term. Horizon Logistics provides warehousing and inventory control; Sterling Freight provides line-haul freight operations.

The MSA sets a monthly minimum billing of \$210,000. Invoices may be disputed within a fifteen (15) day window. The MSA is governed by Delaware law. Operations began 1 February 2024 after a four-week onboarding audit.

STATEMENT OF FACTS (EXTRACT 2/3) - DISPUTE CHRONOLOGY

3 February 2025 - Sterling misses the delivery SLA for the first time; eleven (11) late shipments recorded in February.

14 March 2025 - Horizon sends a cure notice by email (L. Okafor to R. Feldman); the MSA cure period is 30 days.

18 April 2025 - second cure notice sent by certified mail.

22 May 2025 - Sterling issues a credit of \$48,750 covering twenty-three (23) failed lanes.

30 June 2025 - Horizon withholds \$120,400 from payment, asserting setoff for SLA credits.

15 July 2025 - Sterling suspends services.

2 August 2025 - Horizon engages Crestline Transport as replacement carrier at a \$9,200 per week premium.

STATEMENT OF FACTS (EXTRACT 3/3) - DAMAGES NARRATIVE

Replacement premium paid to Crestline Transport from 2 August to 30 November 2025 (seventeen weeks): \$156,400 total.

Lost contract revenue claimed by Horizon per the CFO audit memo dated 5 January 2026: \$410,000.

Storage overflow costs across twenty-three (23) incidents: \$61,250. Customer refunds paid to fourteen (14) downstream customers: \$88,900.

Gross damages claimed: \$716,550, plus pre-judgment interest at 5 percent per annum accruing from 15 July 2025.

EXHIBIT A - MASTER FREIGHT SERVICES AGREEMENT (CLAUSES 1/2)

Section 7.2 - Termination for convenience: either party may terminate on ninety (90) days written notice, subject to an early termination fee of \$60,000.

Section 7.3 - Termination for cause: thirty (30) day cure period following written notice of material breach.

Section 9.1 - Limitation of liability: the greater of six (6) months of fees or \$500,000, excepting gross negligence and willful misconduct.

Section 9.4 - Indemnification is mutual and capped per 9.1.

Section 5.6 - Late payment interest: 1.5 percent per month.

Section 11.3 - Audit rights: twice per year on ten (10) business days notice.

EXHIBIT A - MASTER FREIGHT SERVICES AGREEMENT (CLAUSES 2/2)

Section 3.1 - On-time delivery: at least ninety-six percent (96%) of shipments within the 48-hour delivery window each calendar month.

Section 3.4 - SLA credits: two percent (2%) of monthly billing per missed lane-week, capped at ten percent (10%) of monthly billing in any month.

Section 4.2 - Force majeure excludes labor disputes of the affected party's own workforce.

Section 6.1 - Insurance: \$5,000,000 commercial general liability per party, certificates exchanged annually.

Section 12.4 - Amendments require writing signed by both chief financial officers.

EXHIBIT B - MUTUAL NON-DISCLOSURE AGREEMENT (SIGNED 9 JAN 2024)

Parties: Horizon Logistics LLC and Sterling Freight Systems Inc. Executed 9 January 2024, exchange of operational data for MSA diligence.

Confidential period: five (5) years from disclosure.

Return or destruction of confidential materials within fifteen (15) days of written request.

Residuals: expressly excluded - no residuals rights are granted to either party.

Governing law: New York.

Liquidated damages for breach: \$250,000 per violation.

EXHIBIT C - CORRESPONDENCE LOG (1/2)

14 March 2025 - Email, L. Okafor (Horizon VP Operations) to R. Feldman (Sterling COO): cure within 30 days or Horizon will exercise termination rights under Section 7.3.

2 April 2025 - Reply, R. Feldman: attributes delays to winter weather; requests tolling of the cure period.

18 April 2025 - Certified letter: formal second cure notice.

22 July 2025 - Letter, Sterling to Horizon: counter-threat of termination and demand for \$95,000 in unpaid invoices.

30 July 2025 - Reply, Horizon: acknowledges the \$95,000 invoice balance but asserts setoff of \$120,400 in SLA credits and overbilling.

EXHIBIT C - CORRESPONDENCE LOG (2/2)

8 September 2025 - Demand letter from Whitmore & Slocum (Sterling's counsel) threatening suit for \$215,000.

19 September 2025 - Response by Riverdale & Cho: rejects the demand and asserts accrued SLA credits of \$73,500.

24 October 2025 - Tolling agreement: the statute of limitations is tolled through 31 March 2026.

6 November 2025 - Litigation hold notice issued to Sterling covering dispatch logs and lane-level GPS data.

DOCKET SUMMARY (1/2)

14 March 2026 - Complaint filed (Dkt. 1): three counts - (I) breach of the MSA; (II) breach of the implied covenant of good faith; (III) unjust enrichment.

21 March 2026 - Summons served on Sterling's registered agent, Corporation Trust Company.

9 April 2026 - Answer and affirmative defenses (Dkt. 8): five (5) defenses including force majeure and waiver.

23 April 2026 - Reply to affirmative defenses (Dkt. 10).

30 April 2026 - Scheduling order (Dkt. 11): fact discovery closes 31 July 2026; expert reports 28 August 2026; dispositive motions due 18 September 2026.

12 May 2026 - Motion to compel dispatch logs filed by Horizon (Dkt. 14).

DOCKET SUMMARY (2/2)

29 May 2026 - Order (Dkt. 19): motion to compel granted in part; Sterling to produce dispatch logs by 12 June 2026; sanctions of \$7,500 in fees awarded to Horizon.

16 June 2026 - Sterling moves for a protective order (Dkt. 22) covering GPS telemetry.

3 July 2026 - Ruling: protective order denied as premature.

Depositions noticed: R. Feldman (Sterling COO) on 21 July 2026; L. Okafor (Horizon VP Operations) on 23 July 2026; S. Iyer (Horizon CFO) on 28 July 2026.

EXHIBIT D - DAMAGES MODEL (EXTRACT 1/2)

Prepared by Dr. Elena Marquez, forensic accountant.

Category	Amount
Lost contract revenue	\$410,000
Replacement carrier premium	\$156,400
Storage overflow costs	\$61,250
Customer refunds	\$88,900
Gross damages	\$716,550
Less: mitigation credit	-\$48,750
NET DAMAGES CLAIMED	\$667,800

Model: but-for scenario over a 24-month lookback; pre-judgment interest at 5 percent per annum from 15 July 2025.

EXHIBIT D - DAMAGES MODEL (EXTRACT 2/2) + WITNESS LIST

Expert engagement: Dr. Elena Marquez, forensic accountant, fee \$450 per hour, capped at 120 hours (\$54,000 maximum).

Witness list (8): R. Feldman (Sterling COO); L. Okafor (Horizon VP Operations); S. Iyer (Horizon CFO); T. Brandt (Sterling CFO); M. Ruiz (Sterling dispatch supervisor); J. Whitaker (Crestline operations manager); Dr. Elena Marquez (damages expert); records custodian for dispatch logs.

Exhibits A-1 through A-14; designation deadline 2 October 2026. Designations protected as attorney work product.